

The landed-cost equation

From your FOB to an Indian shelf. Illustrative Maharashtra structure at Rs 87 per USD, July 2026. Your exact model is built with you in Phase 3.

01 THE WATERFALL · EXAMPLE BOTTLE

FOB Jalisco, premium blanco 750 ml: USD 15 (about Rs 1,300).

Freight and insurance to CIF Mumbai: + about Rs 150.

Customs duty, about 150% on CIF: + Rs 2,175. Landed before state charges: Rs 3,625.

State excise, label and fees (40 to 80%, state-specific): + Rs 1,450 to 2,900.

Margins to shelf: importer and distributor together add roughly 25 to 35%, retail another 15 to 25%, then MRP rounding. Indicative Mumbai shelf: Rs 7,500 to 9,500.

02 THE RULE, AND THE BACKWARDS TABLE

Five to seven times. Your Indian shelf price is 5 to 7x your FOB. Every pricing decision starts from this line.

To sit at Rs 4,000 on the shelf, your FOB must land near USD 6.5 to 9.

To sit at Rs 6,000: USD 10 to 14. **To sit at Rs 9,000:** USD 15 to 21.

03 WHAT MOVES THE NUMBER

The state. Excise structure is the biggest swing between markets; the same bottle can shelf 30% apart in two neighbouring states.

The strength. In proof-litre states, 38% carries slightly less duty than 40%. In MRP-slab states it changes nothing.

The case and the currency. Case weight and configuration drive freight; the rupee moves your CIF. Date-stamp every quote you give a buyer.

04 WHO EARNS WHAT

Read it from the buyer's chair. The importer and distributor margins are not your cost; they are your partner's living. A price that leaves them thin buys you a polite first meeting and no second one.

WHAT TO DO WITH THIS PAGE

Run every SKU through the backwards table, then bring FOB per SKU to your consultation. We build your exact model together in Phase 3.

Prepared by the México-India Business Council for Tequila Accelerator Cohort 1. Educational summary, not legal advice; statutes and state rules prevail. Sources: Indian customs tariff (spirits); state excise structures; MIBC model. Figures are illustrative and rounded; exchange rate dated July 2026.

Ravi K. Tiwari, CEO ceo@mexicoindia.org · www.mexicoindia.org · linkedin.com/company/mibcorg